Rupiah & Ammonia

#3

Meridian

Any names cited are included purely for idea-sharing purposes and do not represent investment advice.

In scenarios where price diverges from expectations, timely exit is advised.

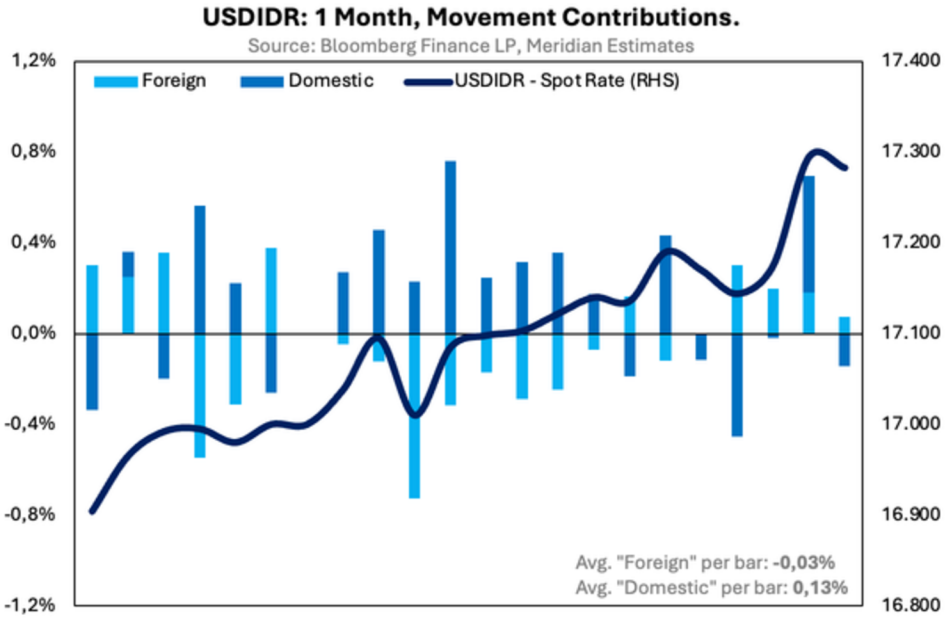
Wrong is part of the game.

RUPIAH

"NOTORIOUS"

Since last month we have held our bullish stance on USDIDR (*tinyurl.com/5btpjcaf)*. The pair just hit a fresh all-time high near 17,300, smashing the old record of 16,745 set back in June 1998.

The frustrating part is figuring out exactly why. We've pored over every macro metric available, and most of it still looks solid: **real rates remain attractive versus other EM peers, current account is manageable compared to the 1997 blow-up, and reserves still cover 5–6 months of imports.**

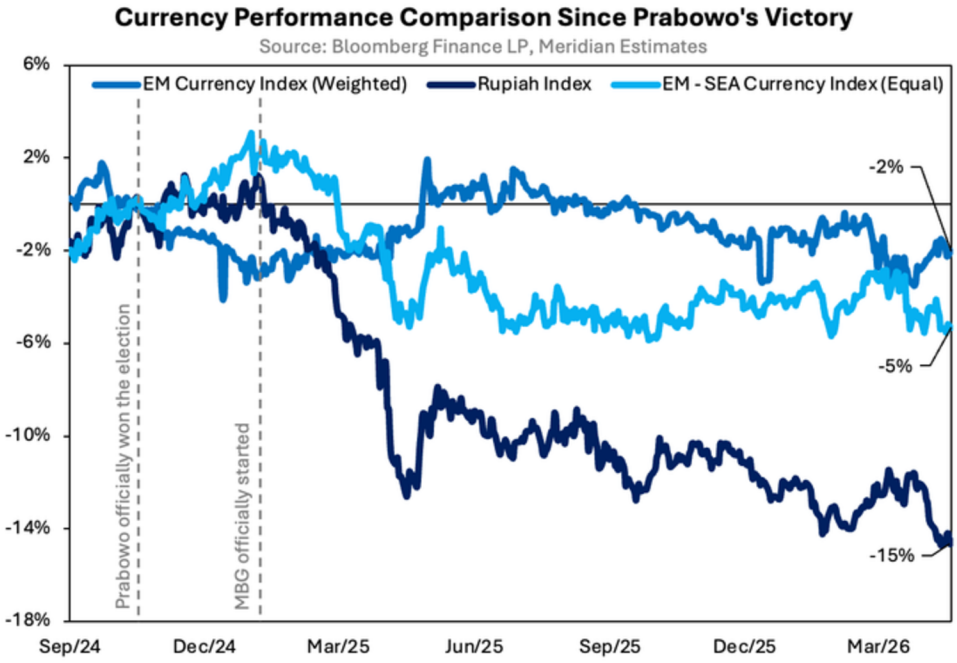


Even more puzzling, if we strip out foreign as a driver, the move becomes even harder to explain, **domestic factors are clearly the dominant force behind this breakdown.**

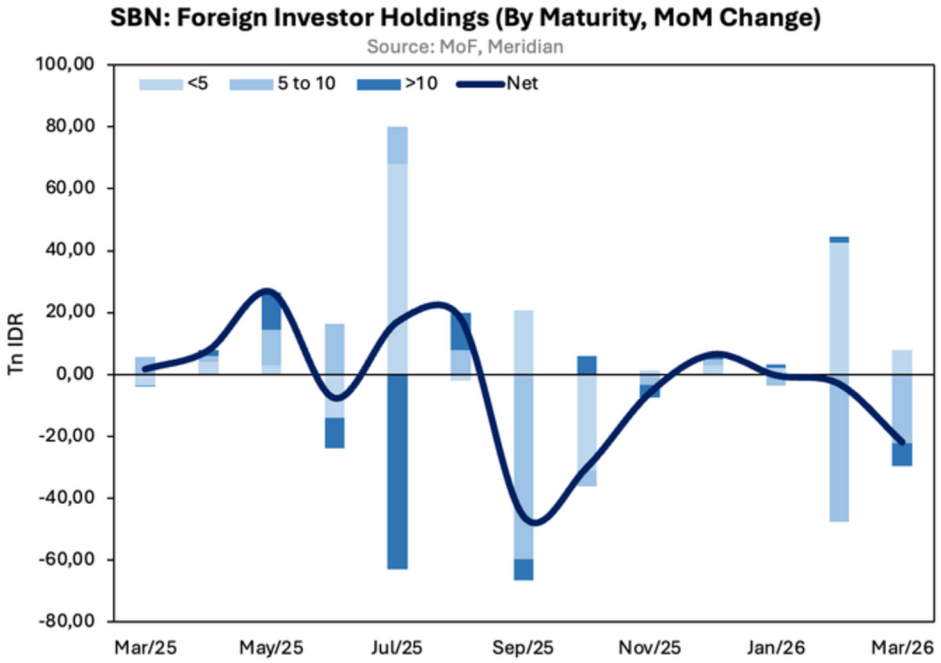
It turns out we're not the only ones puzzled by this. Even Druckenmiller was left totally lost when the Rupiah collapsed in 1998 despite seemingly solid fundamentals.

> "*Druckenmiller*: **The Indonesian Rupiah. My worst memory of my life.** In '96. But let's leave that one out, because it won't teach the lesson you're trying to teach here.
>
> *Jeff Feig*: Actually, I think we'd like to hear about it.
>
> *Druckenmiller*: ... **Indonesia was different. They didn't have the fundamental problems that Thailand and Malaysia had. Turns out, they had worse**. But I don't quite know what was going on, because I think Suharto was funneling money out, because the macro numbers were fine. **But this thing was unbelievable. I mean, it just kept going and going and going**."

That exact dynamic is repeating. Many EM peers are printing softer macro data than Indonesia, but the Rupiah still underperforms across the board.



Look at the chart and the extreme fractal pattern becomes obvious: the most violent leg of depreciation started around November 2024 and ran through mid-2025. The trigger? **Prabowo's official election victory in October 2024** and the **launch of free meal programme (MBG) in January 2025**.

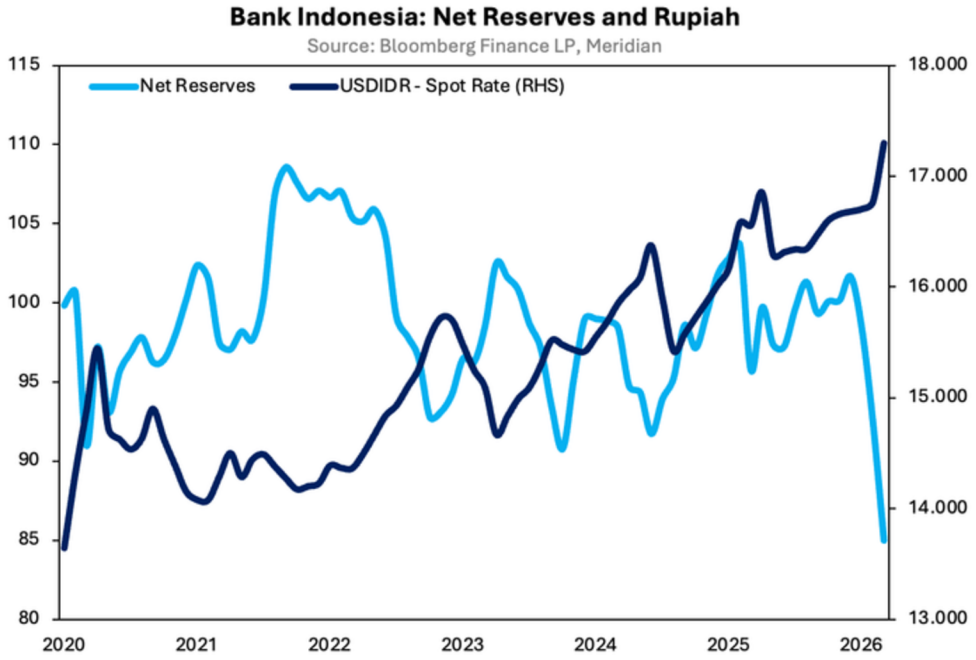


Not only that, foreign ownership in **Indonesian SBN has also been in steady retreat, IDR38.3Tn outflow over the past year alone.**

If there's one word that captures the Rupiah right now, it's a deep erosion of confidence driven by **poor government policymaking**. Emerging markets aren't supposed to deliver superior real growth; *"par is fine as long as the risk premium matches the risk profile*". But the moment perceived risk spikes, markets sell first and ask questions later. This is exactly what Ben Bernanke described in emerging-market crises:

> "When confidence evaporates, capital inflows can reverse violently into outflows, hammering currencies regardless of the initial fundamentals."

The charts we presented above simply reflect the cost of those policy mistakes. Since the 2024 election, the big shift has been **aggressive quasi-fiscal programs (MBG and friends) launched with zero funding clarity**. That has driven fiscal expansion well above the 2.2% baseline, with signals it could stretch to 2.8–3.0%.



Their FX intervention is the most disappointing aspect, purely reactive, **focused solely on damping volatility rather than pre-empting it**. They're steadily draining reserves in the process, while the only consistent policy message is the vague mantra that the programs "must continue". Like fighting a fire without addressing the fuel. **This has become a pure survival game, they will intervene until they physically can't.**

And with that, the picture is no longer puzzling. Of course, USDIDR is at record highs. Of course, CDS spreads are 20–40 bps wider than EM peers. Currencies are pricing the policy trajectory in real time, and the current path offers no credible route for the Rupiah to sustainably trade below 16,500.

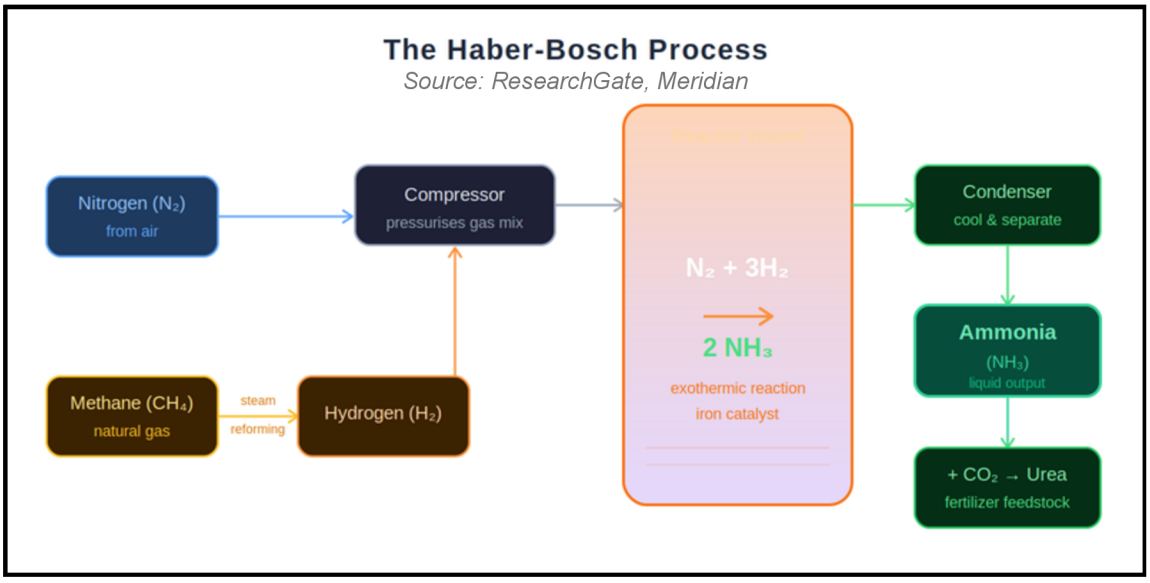
AMMONIA

THE **DARK HORSE** FROM US-IRAN WAR

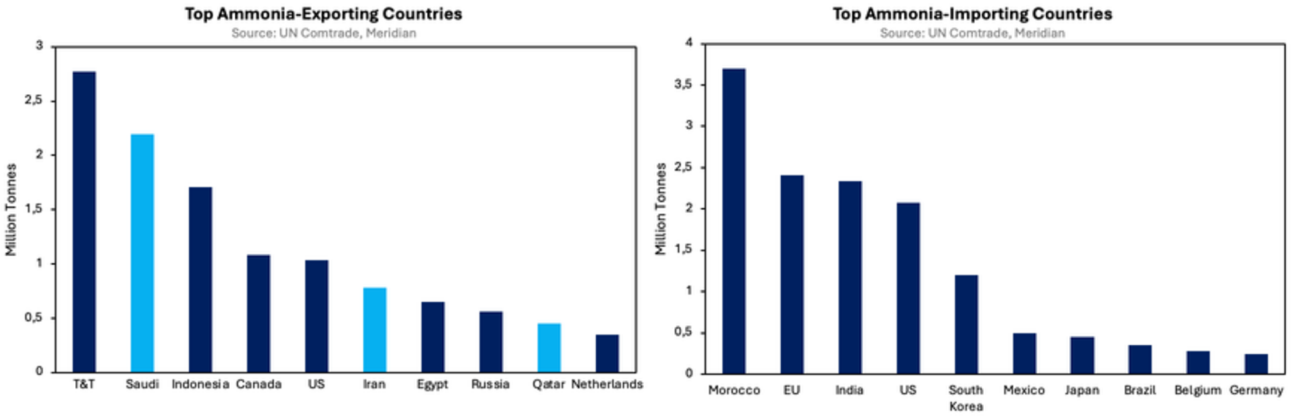
After almost two months the war ensued, the spotlight has barely shifted from oil and gas. In the backstage, ammonia and urea are starting to catch people's attention. Ammonia is a critical component in the world's food security as fertilizer (70% of ammonia production goes here), and is used for refrigeration and in the mining industry as explosives.

he Strait of Hormuz is not just a chokepoint for oil and gas, but for these critical compounds as well. This narrow strait accounts for about ~30% of global urea and ammonia exports, and the situation isn't going any better now. Asian nations are heavily reliant on the Middle Eastern countries for urea and ammonia imports; they receive about 35% of urea and 64% of ammonia from the region

The problem might not be as simple as the closure of the strait. Ammonia (NH3) is synthesized using the Haber-Bosch process, a method that incorporates natural gas (hydrogen source) and nitrogen from the air. Guess how much natural gas in the form of LNG passes through the SoH? The answer is one-fifth (20%) of global trade.

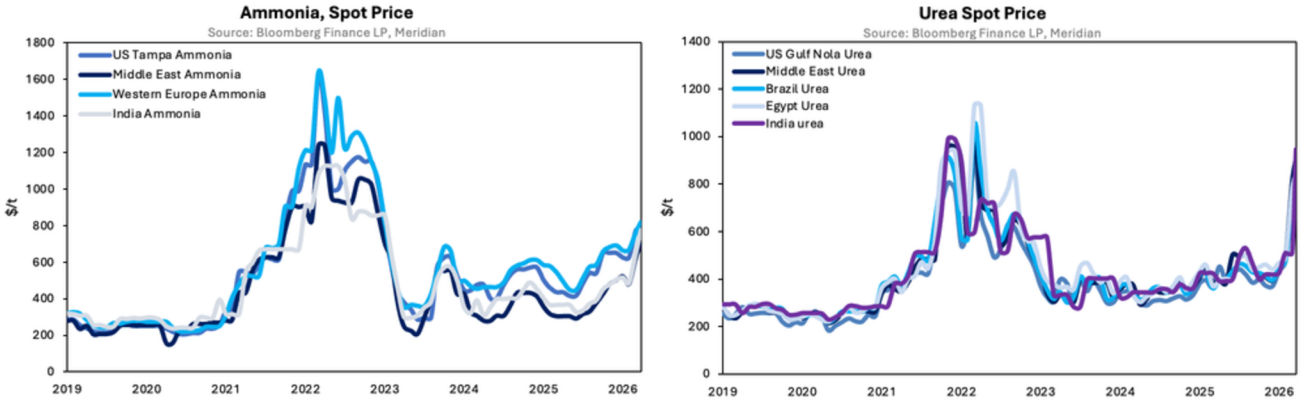


Following the closure of SoH, oil and LNG exports were and still are stranded. **QatarEnergy** declared ***force majeure*** on its **LNG exports**. **Iran** has shut down **seven** of its urea and ammonia plants over concerns of being Israeli military targets. **China banned its fertilizer exports** (nitrogen-potassium blend). **Russia also banned its ammonium nitrate exports** for at least until April 21st to prioritize domestic consumption. **Australia's largest** ammonia plant have **stopped production** until at least late May. India, the world's largest urea importer and a country so reliant on Middle Eastern LNG, has shut down **several of its fertilizer plants** (urea + ammonia) just days after the war broke out, as no feedstock was available (natural gas).



Saudi, Iran, and Qatar, which are among the top ammonia-exporting countries are directly impacted by the conflict (**3.3mt of supply gone**). India, South Korea, Japan, and Brazil are the countries taking the impact, as the main destinations for the Middle Eastern countries are them.

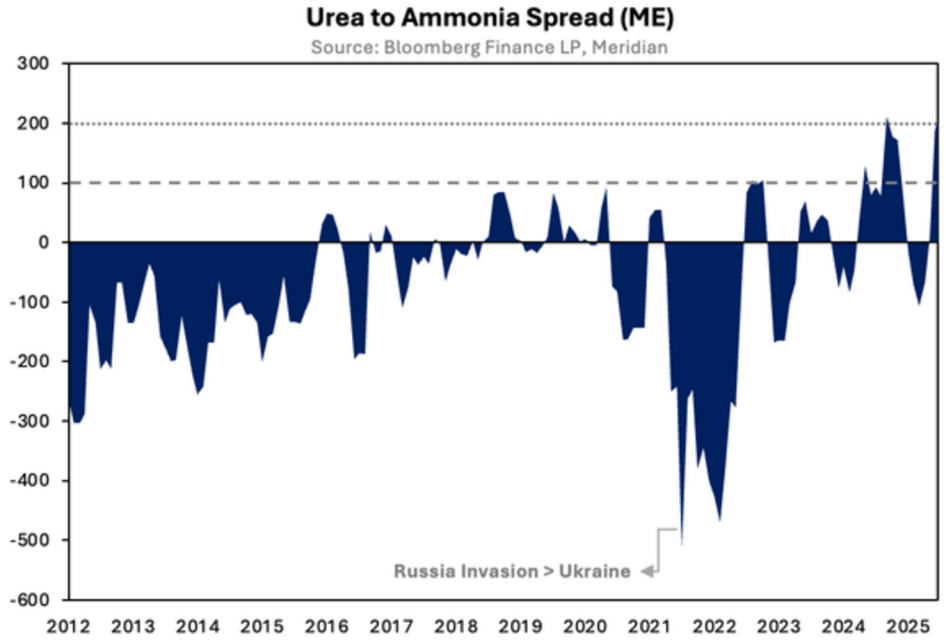
Such a supply crunch always causes prices to skyrocket. Urea and Ammonia (Middle East) price were just **$490/t and $480/t** each before the war started. Now they sit at **$907/t and $700/t,** indicating at least a 50% increase in price in the span of just two months. The charts below suggest that prices are approaching 2022 level, with urea being the leader, and it's not stopping any time soon.



Looking back to Russia's invasion of Ukraine in 2022, this is **arguably more severe**, in terms of urea and ammonia supply, as well as their feedstock. Four years back, Russian natural gas to Europe was essentially cut off, sending Europe TTF natural gas price to €350/MWh, a figure never seen before. This sent ammonia prices surging over **$1600/t** (natural gas is ammonia's feestock).

While 2022 was a **single-vector shock** (natural gas), 2026 is a **three-vectored simultaneous shock:**

1. **Passage of major urea and ammonia trade practically shut down**
2. **20% of global LNG export is gone**
3. **Fertilizer plants scaling down production, or even completely shutting down due to lack of feedstock and war risks.**



The chart above shows the **spread** between urea and ammonia. Urea, a downstreamed product of ammonia (ammonia is the **sole and mandatory** precursor of urea) currently trades at quite a premium compared to ammonia, currently breaching **$200/t**.

One reason we could provide is that since urea is a **solid** (shipped using **dry bulk** vessels), the closure SoH means **urea supply is essentially gone**, hence the premium. Ammonia, on the other hand, is always shipped in **liquid** form. It could be transported using pipelines, and ammonia has more production alternatives (Russia, T&T, US). Moreover, ammonia supply would not be hit as hard as urea since countries/companies can draw down pipeline gas to produce it, use existing inventory, or reduce utilization gradually.

The urea supply disruption is immediate and visible (few ships crossing SoH), whereas ammonia production impact from LNG cuts propagates over weeks to months. This time lag is precisely why the spread is wide right now: the market has priced in the urea trade disruption, but has not yet fully priced the downstream ammonia production impact that will follow from prolonged LNG outages. We believe the spread will move back **(mean-reversion)** to its "normal" range, either ammonia catching up to urea's price, or the latter going down in value, and we think **the first scenario is more likely to happen.**

Latest news shows that India, the **largest** importer of urea, has just made a **tender** to purchase **2.5mt of urea**. Mind you that the global trade of urea in 2025 was just about 50mt, so this is India absorbing **5% of the global urea trade in just a single purchase**. Producers offered their products (urea) at an astronomical price, ranging from $930-$1100/t, although the transaction proceeded at $935-$960/t (23/4, Reuters). Just two months ago, spot urea to India was just priced at **$510/t**. This shows that India is willing to pay such a steep price (almost double) in order to secure its next planting season.

Why is this such a crucial matter? The ***Haber-Bosch*** process to make ammonia attributes approximately **40-50% of global food production**. Crop yield would fall by **4-7% for every 10% reduction** in nitrogen fertilizer. Urea, a nitrogen-based fertilizer, is the most commonly used fertilizer due to its very high nitrogen content, and ammonia is the sole feedstock for producing urea.

RUPIAH'S MEMO

Thus, our average entry on USDIDR is roughly 16.850. **We continue adding to the position**. The biggest leg of Rupiah depreciation — the major fractal — is still in front of us. We also haven't seen meaningful capitulation from the big banks yet, particularly foreign holders. When that selling finally hits, we will actively trim. History shows that the moment sentiment turns euphoric on the downside and panic spreads, BI steps in hard. That intervention should produce the gamma-squeeze volatility we're positioning for.

AMMONIA'S MEMO

Current price increases in urea and ammonia we have been seeing is the **first supply shock**. Moving forward, we will see the **curtailment of ammonia and urea production** as LNG supply continues to be constrained. Countries exposed to imported LNG will have to face higher and higher LNG prices that can be sourced elsewhere. They (ammonia and urea producers) will either: **pass cost increases to customers, reduce plant utilization, or shutting down.** We all know what these will lead to.

Despite worsening market condition, we believe ESSA (sole listed ammonia producer in Indonesia) will emerge as our **champion stock** once the market recovers.

All in all, it's a really solid company. **De-levered, best-in-class performance** (check ESSA's utilization rate), and current macroeconomic conditions provide **enormous tailwind** for the stock, but please, be mindful of your decisions.

Key risk is the opening of SoH (real opening). And we don't see it opening anytime soon.

Please cautiously proceed if you decide to buy, because we are seeing deterioriation — even worse, the days of reckoning for big banks in the coming weeks. Odds of winning in the coming type of market (the one you saw late Jan-Mar) is paper-thin low.

We **do not** see JCI moving back to reclaim 8000 any time soon. No tactical opportunities. Trim your positions.

Summary:
Long: USD, ESSA.
Short / Avoid: JCI.

Meridian